Palantir: committee decision

Working draft - no position at the current price

Do not initiate at the October 5, 2026 close of $189.40 under this model. The causal DCF range is about **$17-$66 per diluted share** (base $30.12). Every case, including the high case with a 10-year fade ($139), is below the price by more than the 20% do-not-initiate threshold. Pierce must decide whether to keep the name on watch/defer. User: buy-side analysts and PM; horizon 3-5 years; NASDAQ PLTR Class A; USD.

Evidence and accounting boundary

Audited 2025 10-K (published Feb 17, 2026); June 30, 2026 10-Q (published Aug 4); information cutoff Oct 5, 2026. FY2026 guidance midpoint $8.154B is a forecast input. Q2 2026 GAAP operating margin was 47.1% (FY2023 5.4%, FY2025 31.6%); the base path falling to 40% by 2030 and 35% at maturity is an analyst assumption against that rising history.

FCFF comes from the integrated five-year statements. Existing awards are counted once, as diluted shares; their remaining expense is added back to EBIT as a separate line so it is not also charged as cost. Future compensation stays in the margin as a cash-replacement cost. Restricted cash gets no credit. Since Oct 6, two code corrections were made: June 30 cash is rolled to Oct 5 by the cash retained in the 97-day stub (+$0.33 base), and the existing-award runoff follows a capped schedule (+$0.03).

Causal valuation cases (USD per diluted share)

Case	Mechanism	Frozen Oct 6	Corrected	5-yr fade	10-yr fade	Terminal / EV
Low	Slower commercial conversion, procurement delays, lower margin, weaker collections	$16.45	$16.66	$18.17	$19.61	66%
Base	Strong adoption decelerates; margins fade toward maturity	$29.76	$30.12	$35.67	$42.04	73%
High	Repeatable deployment sustains adoption and collections	$65.48	$65.91	$94.96	$139.49	83%

Base WACC 10.56% = 10-year Treasury 5.31% + beta 1.25 x ERP 4.20%. The Treasury value, ERP date and a sourced beta are pending verification (hosts blocked in the revision session). Beta 1.50 gives about $27 and 2.00 about $23 in the base. Terminal growth 2-4%, mature margin 30-40%, ROIC 25%, reinvestment = growth / ROIC.

What the price implies

At $189.40, with base margins, discount rate and immediate maturity after 2030 held fixed, the market implies revenue compounding about 122% a year from 2026 to 2030, versus 31% in the base case.

At $189.40, with base growth held fixed, no steady-state operating margin up to 100% of revenue is enough (even 100% gives $65); the price cannot be explained by maturity-year profitability alone.

At $189.40, with base growth and margins held fixed, the market implies about 60 years of linear fade before maturity.

Diagnostic only: scaling base commercial growth alone requires 4.58x the base path (252%, 183%, 137%, 101% for 2027-2030).

One price cannot pin down growth, margin and fade length at once; each line moves one and holds the rest at base.

Relative valuation and disagreement

Under the revised peer rule only NOW and CRM have data so far; the wider candidate set (SNOW, DDOG, CRWD, NET, MDB, ADBE, TYL) is pending data and Pierce's approval. Peer EV/revenue implies about $17-$28 and GAAP P/E about $25-$106 per basic share. Palantir trades at 72x TTM EV/revenue and 151x GAAP P/E (199x at a normalized 25% tax). Peers grow far more slowly, so multiples cannot capture Palantir's growth; the DCF prices growth but imposes maturity. The market implies a longer, more profitable runway than either supports. The methods are not averaged, and basic-share values are not mixed with diluted DCF values.

Stresses, conditions and committee ask

Procurement delay and AI deployment failure: $14.33; at a hypothetical $20 entry: do not initiate.

Commercial conversion slowdown: $16.66; at a hypothetical $20 entry: do not initiate.

Maturity deferred to2035 with five-year fade: $35.60; at a hypothetical $20 entry: initiate candidate.

Monitor realized commercial/government revenue, collections, GAAP margin, compensation and award issuance, cash taxes and valuation-allowance status, and hosting/capex. Two quarters above the high-case path would justify rebuilding runway and maturity. NOL utilization would add only $0.37-$0.71 per share.

Committee ask: approve no current position; Pierce to decide fade length, margin path, beta, peer list and the watch/defer label. Pending: unchanged official Edition A PDF, AI-off locked test, final partner review, real videos and transcripts.

Sources: Palantir 2025 10-K and June 2026 10-Q (saved and hashed); Aug 3 release; Oct 5 closes; Treasury daily par yield curve; NYU Stern implied ERP; NOW/CRM issuer disclosures. URLs, dates and pending verifications are in the repository (docs/source-verification-2026-10-20.md).